Global GDP Nowcast

A running read on world real GDP growth, updated from trade, factory output, consumer, and financial-market data as it's published each month.

THE ASSESSMENT

The global economy looks set to grow at an annualized **+3.3%** pace in Q2 2026 — modestly below its longer-run 3.6% trend, though an acceleration from the 3.0% pace booked in Q1 2026. This run restricts the panel to indicators with genuine multi-country coverage, setting aside six US-only proxies (bank lending standards, home prices, credit leverage, jobless claims, bank equities, and financial conditions). Consumer spending and business sentiment are driving the improvement, while factory output and equity markets are pulling back. The model expects growth to hold roughly steady over the following quarters. This is an estimate one quarter ahead of the last confirmed GDP print, so it is best read as a directional signal on where the economy is heading rather than a precise forecast.

NOWCAST · Q2 2026

+3.3%

annualized, world real GDP · one quarter ahead of last confirmed print

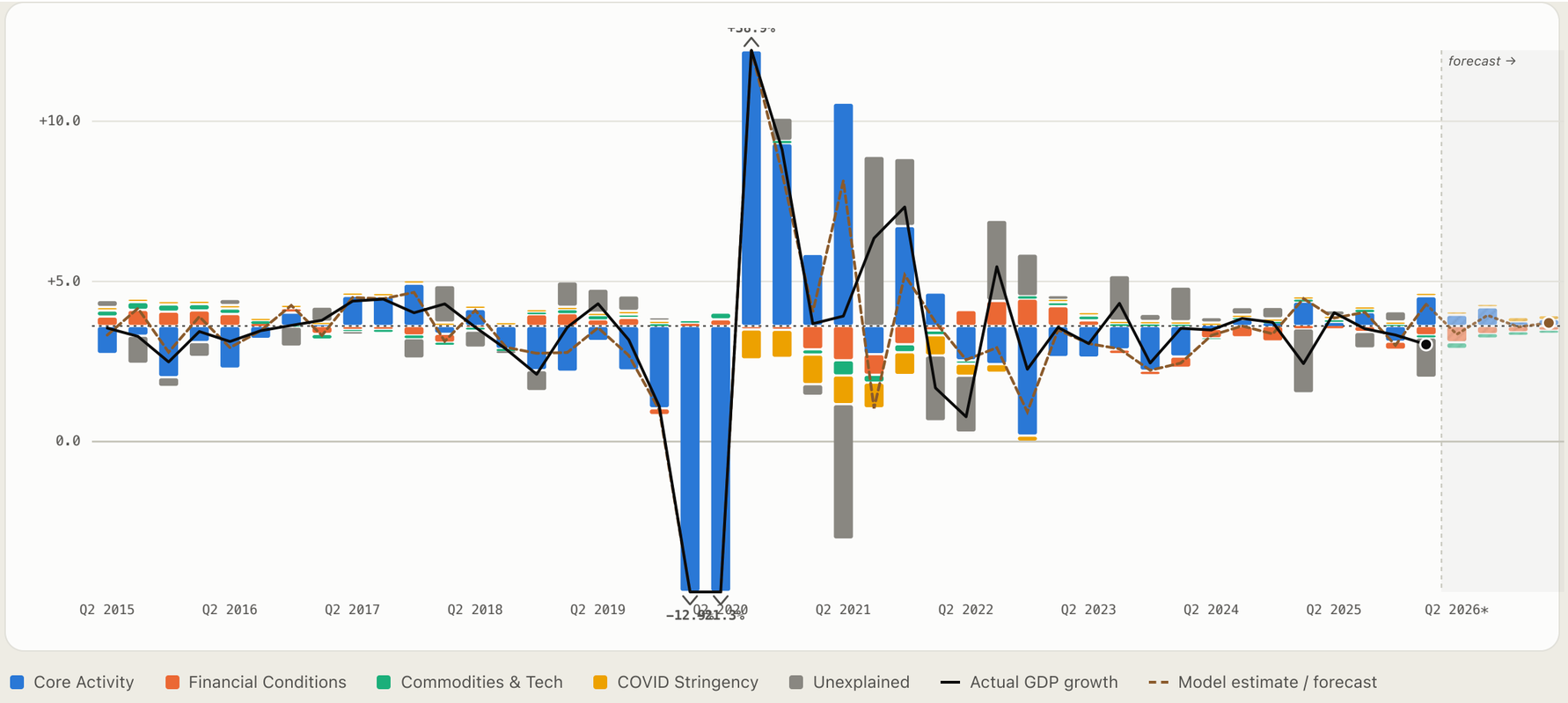
Elastic-net model IN USE

Global growth is tracked with two competing statistical models; this one was picked because it has predicted actual GDP prints more accurately over the past decade — including during downturns — than the alternative.

0.92	2.9pp	14/15
MODEL FIT (R^2)	TYPICAL MISS	INDICATORS IN USE

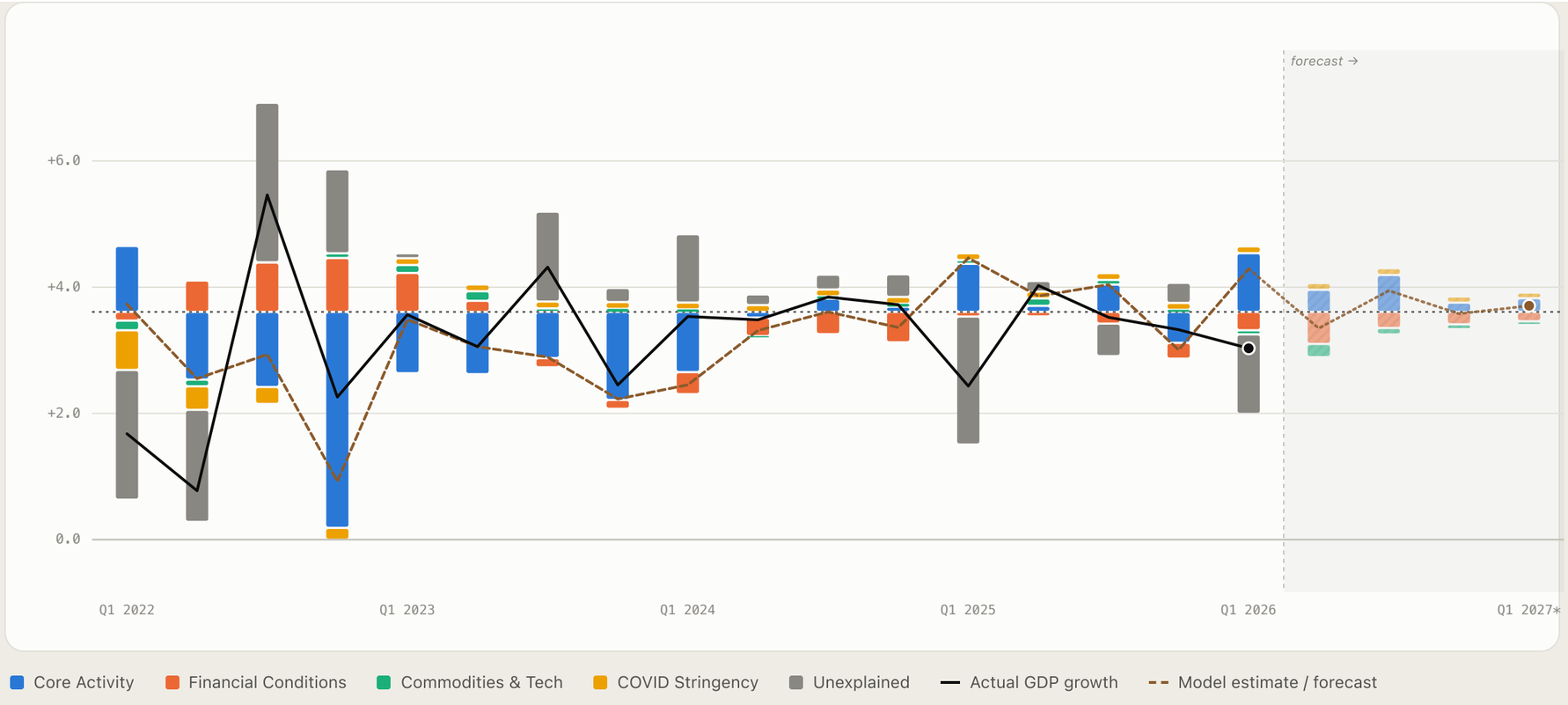
Drivers of growth, by quarter

How each group of indicators has pushed growth above or below its +3.61pp long-run trend, quarter by quarter · the line is actual GDP growth · Q2 2015–Q1 2027 · hatched bars are forecast quarters. 2020's COVID collapse and rebound are so large they'd flatten every other quarter on this scale — arrows mark where the chart runs off the edge; hover any bar for exact figures.



Same chart, 2022 onward

The same view, zoomed into 2022 onward. With the COVID-era swings out of frame, the recent growth cycle is easier to read.



This quarter’s breakdown, by indicator

Q2 2026 nowcast · every indicator in the panel, ranked by how much it has typically moved the headline number over the past 44 quarters · the +3.61pp long-run trend applies on top of every row below and isn’t attributable to any one indicator · the model in use currently leans on **14 of 15** indicators — the other 1, dimmed below, is tracked but isn’t currently moving the estimate.

INDICATOR	Q2 2026	TYPICAL IMPACT	SOURCE
Industrial production World industrial production, 3-month annualized growth.	−0.47pp	1.70pp	Haver `S001XDG@G10` fallback: CPB World Trade Monitor
Retail sales OECD total retail trade volume, 3-month annualized growth.	+0.60pp	0.65pp	Haver `C003ROI@OECDMEI` fallback: FRED SLRTTO01OEQ659S
Composite PMI S&P Global Composite PMI (business survey); readings above 50 = expansion.	+0.35pp	0.56pp	Haver `SGBLVPTG@INTSRVYS` fallback: OECD Composite Leading Indicator
COVID stringency (less strict = +) Oxford COVID-19 Government Response Stringency Index, sign-flipped so + = less restrictive.	+0.11pp	0.26pp	Oxford OxCGRT (static historical CSV)
Equity market performance S&P 500 Composite, YoY % change — US proxy for global equity markets.	−0.42pp	0.25pp	Haver `SP5COM@SPD` fallback: yfinance ^GSPC
Oil price shock Brent crude spot price, year-over-year % change.	−0.12pp	0.08pp	Haver `PEOBR@WBPRICES` fallback: FRED DCOILBRENTEU / yfinance BZ=F
USD index (easing = +) Broad trade-weighted USD index, sign-flipped YoY so + = dollar easing.	−0.04pp	0.06pp	Haver `FXTWBDI@USECON` fallback: FRED DTWEXBGS / yfinance DX-Y.NYB
Consumer confidence OECD total consumer confidence index, de-meaned level.	−0.09pp	0.05pp	Haver `C003CCE@OECDMEI` fallback: FRED CSCICP03O9M665S
EM / sovereign spread proxy JPMorgan EMBI Global sovereign spread, YoY change (bp), sign-flipped so + = spreads tightening.	−0.07pp	0.05pp	Haver `GS@EMBI` fallback: yfinance EEM
Trade volumes World trade volume, 3-month annualized growth.	−0.05pp	0.04pp	Haver `S001IQXM@G10` fallback: CPB World Trade Monitor
Copper (Dr. Copper) LME copper price (nicknamed Dr. Copper), YoY % change — global industrial-demand proxy.	−0.06pp	0.04pp	Haver `PNMCOP@WBPRICES` fallback: FRED PCOPPUSDM / yfinance HG=F
VIX (calm = +) CBOE Volatility Index (VIX), sign-flipped z-score so + = calm markets.	+0.01pp	0.04pp	Haver `SPVIX@USECON` fallback: yfinance ^VIX

INDICATOR	Q2 2026	TYPICAL IMPACT	SOURCE
Yield curve (10y-2y) 10-year minus 2-year US Treasury yield spread — classic recession-leading indicator.	+0.02pp	0.02pp	Haver `FCM10@USECON – FCM2@USECON` fallback: FRED T10Y2Y
AI / tech capex Philadelphia Semiconductor Index, YoY % change — tech/chip-demand proxy.	−0.03pp	0.01pp	Haver `SPSOX@DAILY` fallback: yfinance ^SOX
Business confidence OECD total manufacturing/industrial confidence index, de-meaned level.	+0.00pp	0.00pp	Haver `C003BMA@OECDMEI` fallback: FRED BSCICP03O9M665S

7 of 22 tracked indicators aren't in this run's panel (distinct from the dimmed row above, which the model just isn't currently weighting):

- **Set aside for this global-only run** — six US-only proxy indicators, deliberately excluded so the estimate rests only on genuinely multi-country signals. Each fetcher stays fully coded in `py/01_build_panel_real.py` (see the `EXCLUDED_INDICATORS` set) and returns automatically if removed from that list:
  - **Bank lending standards** (lending_standards, SLOOS) — US-only, no clean global equivalent exists.
  - **Housing prices** (housing, Case-Shiller) — US-only proxy for a global housing cycle.
  - **Leverage / credit-to-GDP** (leverage) — US-only proxy (BIS credit-to-GDP data covers the US only).
  - **Jobless claims** (jobless_claims) — US-only proxy for global labor-market stress.
  - **Bank equity index** (bank_equity, KBW) — a US bank-sector index, not a global one.
  - **Financial conditions** (fin, NFCI) — a US-specific financial-conditions index (Chicago Fed).
- **Dropped for data reasons, not by choice: Credit spreads (HY OAS)** (credit) — Haver history for this series only goes back to 2012 — shorter than the panel's 2005 start, so it's dropped rather than truncating every other indicator's usable history to match.

Model comparison

Average miss vs. actual GDP prints, testing each model on data it hadn't seen · lower is better · bold = more accurate

PERIOD	FACTOR MODEL	ELASTIC-NET MODEL (IN USE)
Normal quarters 66 quarters	**1.45pp**	1.65pp
Stress periods 7 quarters	12.39pp	**8.05pp**
Overall	4.08pp	**2.94pp**

Illustrative model output, not an official or investment forecast. Full estimation and data-pipeline code (`py/01_build_panel_real.py` through `py/05_export.py`) ships alongside this pipeline; rerun it any time to refresh every number on this page.

MEMORANDUM

Global Growth Nowcast

Re: World real GDP, Q2 2026 **Date:** August 20, 2026

World GDP growth in Q2 2026 is tracking at an annualized **+3.3 percent**, modestly below the global economy's 3.6 percent long-run trend but an acceleration from the 3.0 percent pace booked in Q1 2026. This update runs the nowcast on a global-only indicator panel: six US-specific proxies — bank lending standards, home prices, credit-to-GDP leverage, jobless claims, bank equities, and financial conditions — have been set aside so the estimate rests only on indicators with genuine multi-country coverage. That change lowers the estimate by roughly 0.6 percentage point relative to the equivalent full-panel reading (+4.0 percent) but does not change the model ranking: the elastic-net model remains the more accurate of the two candidate specifications, particularly in stress periods. This is a **nowcast** — a real-time estimate built from monthly data — not the official GDP figure, which will not be confirmed for several more months.

Why We Nowcast

Governments report GDP quarterly, and the final figure for a given quarter is typically not confirmed until well after that quarter has ended; for a global, PPP-weighted aggregate like this one, confirmation lags further still, since it depends on every major economy having reported. By the time the official number arrives, it is too stale to inform a near-term decision. A nowcast closes that gap by tracking the economy in real time, using monthly data that arrives faster than GDP itself — business surveys, trade flows, factory output, jobless claims, retail sales, and financial-market indicators. None of these series is GDP, but together they move closely with it and are available weeks to months sooner.

How We Build the Estimate

We combine roughly 15 monthly indicators — spanning trade, industrial activity, the labor market, consumer spending, and financial conditions — into a single statistical estimate of GDP growth. Six additional indicators with genuine information value but only US-level coverage (bank lending standards, home prices, credit leverage, jobless claims, bank equities, and financial conditions) are set aside for this run to keep the panel global. Two different modeling approaches are tested side by side against more than a decade of history, including the 2008 financial crisis and the 2020 pandemic, and we use whichever has actually predicted GDP more accurately, quarter by quarter, rather than committing in advance to one method.

That comparison is re-run every time the estimate is refreshed, so the model in use can change — and has changed, in past refreshes — as conditions change.

The Data

Data is drawn primarily from Haver Analytics, a professional economic-data platform, with the Federal Reserve, the OECD, the IMF, and other public sources as fallbacks when a series is unavailable. We favor data that is genuinely monthly, so it updates faster than GDP; available with only a short lag; and has a long, consistent history, so it can be tested against past recessions and recoveries rather than only recent, calmer periods. Six indicators are sitting out this update by design, not because the data is unavailable — they are US-only proxies with no clean global equivalent (bank lending standards, home prices, credit leverage, jobless claims, bank equities, and financial conditions) and can be reinstated at any time. A seventh, credit spreads, is absent because its available history only goes back to 2012, too short to date.

What the Results Are Telling Us

The headline number — +3.3 percent for Q2 2026 — is a read on the current quarter, not a distant forecast: it sits just one quarter beyond Q1 2026, the last quarter with a confirmed GDP print, so it is built on real monthly data that has already come in for Q2 2026, not a long-range guess. The chart on the Dashboard tab also carries the estimate several quarters further out, to show where the model expects growth to head next, but those later quarters are extrapolated rather than grounded in incoming data and should be weighted less heavily than this one.

Even this quarter's number is an estimate, not a confirmed figure: historically, this model's GDP estimates have missed the actual print by about 2.9 percentage points on average, so the exact decimal matters less than the direction and rough magnitude it points to — growth running modestly below trend but accelerating from last quarter, not the reverse. The gap with the equivalent full-panel reading (+4.0 percent) is broadly consistent with the six set-aside indicators having been modest net positive contributors, combined, in the prior run; the elastic-net model was also refit on the smaller panel, so the two figures are not a clean like-for-like decomposition.

Key Drivers of Growth

Consumer spending, measured through retail sales, is again the single largest contributor this quarter, adding roughly 0.6 percentage point. Business sentiment, captured by the composite PMI, is the next-largest positive driver. Those gains are largely offset by industrial production — the largest single drag this quarter — and by softer global equity performance; together the two subtract close to 0.9 percentage point. Smaller movements in COVID-era stringency effects, oil prices, and the remaining financial-market indicators round out the picture but are not currently decisive.

Bottom Line

Growth is running modestly below trend but accelerating from Q1, carried by the consumer and by business sentiment even as factory output and equity markets soften. Restricting the panel to genuinely global indicators did not change that picture materially: the estimate and the model ranking are consistent with the full-panel run. We will continue to update this estimate monthly as new data arrives and will flag if the balance of drivers shifts, or if reinstating the US-only proxies would meaningfully change the read.